

Investment	Short Term Capital Gains (STCG)		Long Term Capital Gains (LTCG)		Recommended Investment Tenure
	Duration	Tax %	Duration	Tax %	
Property / Real Estate	Less than 3 years	0 to 30% (As per tax slab)	3+ years	20% after CII adjustment of Cost	10-20 years
Bonds / NCDs	Less than 1 year	0 to 30% (As per tax slab)	1+ year	10% Flat	1-3 years
Gold (Physical or eGold)	Less than 3 years	0 to 30% (As per tax slab)	3+ years	20% after CII adjustment of Cost	15+ years
Gold ETFs / Gold Funds	Less than 1 year	0 to 30% (As per tax slab)	1+ year	10% Flat or 20% after CII adjustment	15+ years
Equity Based Mutual Funds	Less than 1 year	15% Flat	1+ year	Nil	7+ years
Debt Based Mutual Funds	Less than 3 years	0 to 30% (As per tax slab)	3+ years	20% after CII adjustment of Cost	3+ years
Stocks	Less than 1 year	15% Flat	1+ year	Nil	7+ years

Fig 2.6 : Tax Slabs for Capital Gains

The debate on Capital Gains taxation is endless. But it was important for us to get the fundamental understanding of capital gains and their taxation. Having had some rudimentary understanding of Capital Gains Tax, let us understand how are they taxed on various capital assets that we hold.

Long-term and short-term capital gains tax

Capital gain is classified into two types, depending on the period of holding of the capital asset.

- Short-Term Capital Gain (STCG)
- Long-Term Capital Gain (LTCG)

The taxation based on above classification also varies depending on the type of the capital asset that you are holding.

The table in Fig 2.6 shows the Long Term and Short Term Capital Tax structure for various types of capital that you may be holding.

As you can see in Fig 2.6, if shares or equity based MFs are held for less than 12 months before selling, the gain arising is classified as short-term capital gain. The only condition here is that the shares/equities should be sold on a recognized stock exchange (for example, BSE or NSE), and a Securities Transaction Tax (STT) should be paid on it. The short-term capital gain is taxed at 15% of the gain. Remember that a short-term capital loss arising from sale of shares can be offset against a short-term capital gain from the sale of other shares, as long as both the sales occur in the same financial year.